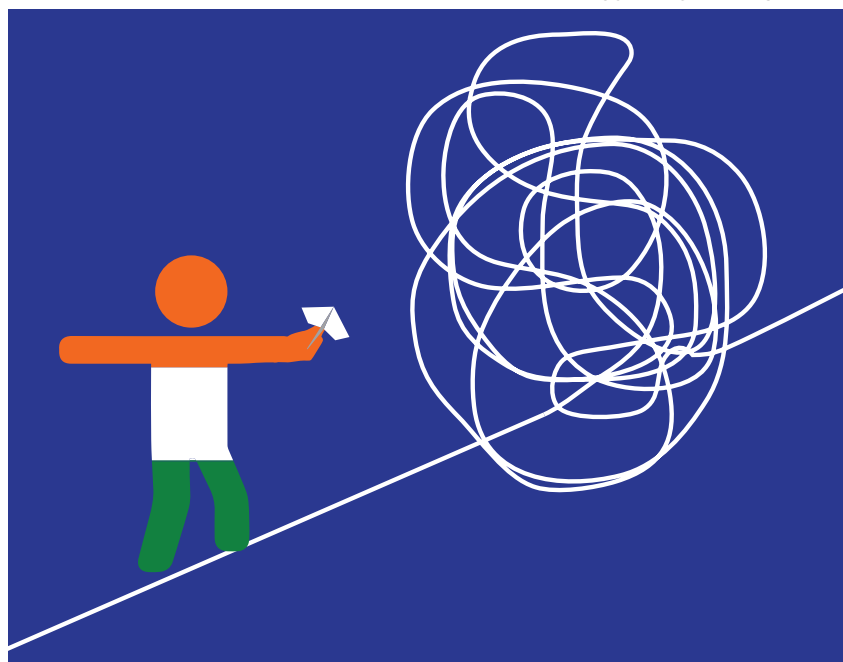


This GIFT Needs Money

With GIFT-City, India is betting big on the multi-billion dollar aircraft leasing industry, but crucial financing is missing

BY MANISH PANT

ILLUSTRATION BY RAJ VERMA



22 |

► **IN A BID TO** take a big bite of the global pie, aircraft leasing companies that start operations from the International Financial Services Centre (IFSC) in Gujarat International Finance Tec-City (GIFT-City) have been exempted from paying corporate and withholding tax on leasing transactions. Besides, more concessions are available to them if they lease aircraft from the multi-services special economic zone near Ahmedabad.

The exemptions are part of the government's efforts to transform the country into a global aircraft leasing hub to rival centres such as Dublin or Singapore by incentivising foreign lessors to commence operations from here. Even as the move has been described as crucial in making the world's third-largest domestic aviation market self-reliant in leasing, experts have expressed concerns over a lack of provisions to make financing for such deals easily available.

The absence of a robust financing framework in GIFT-City may prove to be a dampener for aircraft leasing to take off meaningfully, as the industry flourishes in centres that have easy access to capital. A failure, then, would mean missing out on the opportunity to capture a slice of the \$170-billion global aircraft leasing industry, experts say. "Aircraft leasing has two parts to it—aircraft trading

and aircraft financing. Any capital-intensive industry requires financing, and the aircraft is a hard asset. However, the leasing business needs strong financial support," says Rohit Tomar, Partner at aviation advisory firm Caladrius Aero.

As per data compiled by *BT*, since 2011, the cumulative order book of major Indian scheduled carriers stands at more than 1,100 aircraft. Currently, most Indian carriers are dependent on centres like Ireland to meet their leasing-related requirements. For instance, all sale and leaseback transactions of Indi-Go—India's largest airline—are handled from Dublin, that too at one of the lowest negotiated prices. But with the incentives unveiled recently, private players are expected to start leasing domestically, experts say.

"The private sector is doing its part by registering at least 13 leasing companies at GIFT-City. However, the government and regulatory bodies like the Reserve Bank will have to do more by allowing and incentivising banks to fund the transactions," says Dinesh Pardasani, Partner at law firm DSK Legal.

In contrast, other global hubs have robust financial support for the aircraft leasing industry. For instance, lessors in Ireland's capital Dublin are supported by European banks, whereas firms from Singapore are supported by the government-owned Temasek Holdings as well as Singaporean banks, and companies based out of Hong Kong and mainland China are supported by banks from Hong Kong and China.

"In this backdrop, why should leasing companies start a business here when the policy is not complemented by financing? There is a provision in India under Alternative Investment